AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

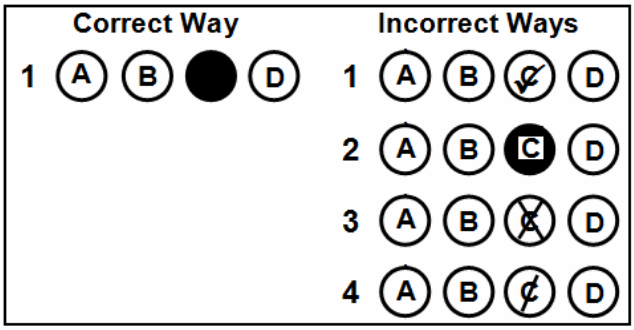
MAY 2013

Business Studies Paper I

Time: 35 minutes Marks: 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Aliza, the owner of a small ice cream parlour has planned to open a new branch by using her retained profit. This is an example of

   A. internal growth.
   B. external growth.
   C. take over.
   D. merger.

2. Mr. Ahsan is setting up a bakery in his area selling birthday cakes according to customers' needs. Such a business is an example of

   A. sole proprietorship.
   B. partnership.
   C. private limited company.
   D. public limited company.

3. The basic way of measuring the size of an organization as compared to other organizations is the

   A. number of employees working in an organization.
   B. living standard of its employees.
   C. savings of his employees.
   D. amount of employee's investment in their own organization.

4. The reason why businesses seek to grow is to

   A. enhance social benefits.
   B. increase the number of issued shares.
   C. capture more market share.
   D. enhance their factory area.

5. The opportunity cost is the

   A. cost of next best alternate forgone.
   B. cost of the complementary goods.
   C. cost of substitute goods.
   D. production or manufactured cost.

6. Which of the following shows the correct business objective of the given stakeholders?

	Stake Holders	Business Objectives
A.	Owners	Want to enhance general welfare of the society
B.	Consumers	Interested in the growth of the company
C.	Directors	Increase tax payments to the government
D.	Workers	Want job security and better salary

7. A business organization asked for suggestions for improving customer services by putting circular on a notice board. No suggestions were submitted by any employee till the given date. The communication problem in this scenario was due to the

   A. sender.
   B. receiver.
   C. feedback received.
   D. medium used.

8. Mr. Ali is a customer care officer at Bank Al-Habib. He has written a concept paper to motivate and emphasize customer care and has circulated it among other employees within his organization. This type of communication is an example of

   A. internal communication.
   B. external communication.
   C. moral communication.
   D. business ethics.

9. A well motivated work force in a business organization helps to increase

   A. number of holidays.
   B. pension rights.
   C. procedures regarding dismissals.
   D. labour productivity.

10. Environmental constraints can be overcome by introducing all of the following EXCEPT

    A. law banning certain waste disposal.
    B. heavy fine imposed on the pollutants.
    C. using mainly non-renewable resources.
    D. formation of pressure groups.

11. When the average cost of a business reduces due to an increase in its scale of operations it is called

    A. economies of scale.
    B. diseconomies of scale.
    C. variance analysis.
    D. flow production.

12. One of the stages of a business cycle, where unemployment reaches to a very high level and prices may fall is considered as

    A. recession.
    B. slump.
    C. recovery.
    D. boom.

13. The manufacturer has to bear the cost even at the Zero or non-productivity level, and it will never vary with the number of items sold or produced in short term. Such a cost is considered as

    A. variable cost.
    B. fixed cost.
    C. average cost.
    D. marginal cost.

14. Which of the following is NOT a reason of regulating business activity?

    A. Alleviation of poverty
    B. Increasing the amount of taxation
    C. Achieving equal distribution of wages
    D. Promoting monopoly

15. Governments can protect the society without harming the economic development from environmental hazards by

    A. enforcing a ban on industrialization.
    B. locating industries to environmentally sensitive areas.
    C. promoting recyclable products.
    D. enforcing ban on environmental pressure groups.

16. 'Accounting' is different from 'book keeping' as an accountant's job is to

    A. maintain precise and accurate records.
    B. record financial transactions and events.
    C. record transactions and be involved in interpreting information.
    D. collect only facts regarding business.

17. Which of the following would be categorized as a 'current asset'?

    A. Trade credit
    B. Plant and machinery
    C. Supplies
    D. Stocks

18. The cost of goods sold can be calculated by adding

    A. opening inventory into net purchases.
    B. opening and ending inventories.
    C. opening inventory to net purchases and subtracting ending inventories.
    D. ending inventory to net purchases and subtracting opening inventory.

19. Which of the following transactions is considered as capital expenditure?

    A. Purchase of vehicle
    B. Purchase of fuel for the vehicle
    C. Payment of road vehicle tax
    D. Payment of salary to the driver

20. Mr. Ahmed is entering for the first time in the cheese market by introducing a new variety of cheese with a price comparatively lower than other currently operating businesses. Such a pricing strategy is termed as

A. cost-plus pricing.
B. penetrating pricing.
C. price skimming.
D. promotional pricing.

21. Imperial Soap Company has raised the price of their soap to compete with other counterpart companies in the market who have raised their prices too. This pricing strategy is considered as

A. competitive price.
B. price skimming.
C. cost-plus pricing.
D. promotional pricing.

22. Ahmed purchases packing materials and shopping bags in bulk from the manufacturer and sells to different packing stores. He will be considered as a/an

A. wholesaler.
B. retailer.
C. agent.
D. distributor.

23. Mr. Ahmed is a manufacturer of school furniture. If he wishes to promote his new product to different schools of his town, he should promote it through

A. informative advertisements.
B. target advertisements.
C. persuasive advertisements.
D. attractive advertisements.

24. A document which outlines the required qualification, expertise and physical characteristics for a specific position in an organization is called job

A. description.
B. specification.
C. enlargement.
D. enrichment.

25. Mr. Fareed owns a civil engineering corporation. He would like to develop a training program which educates the newly recruited contractors about safety training procedures. Such training to the contractors is considered as

A. on job training.
B. off job training.
C. induction training.
D. simulation training.

END OF PAPER

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